their own development with a more meaningful participation by people.

6. **Investment, Income and Multiplier**

Rao's examination of the "interrelation between investment, income and multiplier in an under developed economy" (1952) was his major contribution to macroeconomic theory. As a thinker, teacher, economic adviser and direct policy maker, V.K.R.V. Rao followed the footsteps of his great teacher, John Maynard Keynes.

7. **Institution Builder**

He founded three national level research institutes namely Delhi School of Economics, Institute of Economic Growth (both at Delhi) and Institute for Social and Economic Change (Bangalore)

## 7.8.7 Amartya Kumar Sen



The Nobel citation refers to Sen's contributions to social choice theory, development economics, study on poverty and famines and concept of entitlements and capability development (1998).

1. **Poverty and Famines**

Sen's Poverty and Famines: An Essay on Entitlement and Deprivation" (1981) is both a theoretical and an applied work. In the book, several famines have been studied in the working of a general theoretical framework from an original angle. He examined various meanings of poverty and drew attention to the incidence of absolute and relative deprivation.

2. **Poverty and Inequality**

Sen has carried out massive work on poverty and inequality in India. Sen's major point has been that the distribution of income/ consumption among the persons below the poverty line is to be taken into account.

3. **The Concept of Capability**

The concept of capabilities developed by Sen has been cited as a better index of wellbeing than commodities or utilities. Capability, as defined by Sen, is the ability to transform Rawlsian primary goods to the achievement of wellbeing.

4. **Entitlement**

Sen has included the concept of entitlement items like nutrition, food, medical and health care, employment, security of food supply in times of famine etc. He considered famine as arising out of the failure of establishing a system of entitlements.

5. **Choice of Technique**

Sen's 'Choice of Technique ' was a research work where he argued that in a labour surplus economy, generation of employment cannot be increased at the initial stage by the adaptation of capital- intensive technique.

Conclusively, Amartyasen, more than just an economist, is an ethical philosopher. He is a lover of freedom and a humanist. He has focused on the poor, viewing them not as objects of pity requiring charitable hand–outs,



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